PIA3121 Theories of International Relations — Week 4 Summary: The Neo-Neo Debate

1. Where Week 4 Sits in the Course

Keywords: Neo-Neo Debate, Neorealism, Neoliberalism, schedule, midterm quiz, Axelrod reading

- Lecture of **22 Sep 2026**, the second half of "Liberalism and Neoliberalism vs. Realism and Neorealism" (Slide 1).
- Schedule (Slide 2): Tools of Analysis → Realism → Liberalism → **Neorealism and Neoliberalism (22 Sep)** → Economic Structuralism → Constructivism → **MIDTERM QUIZ (13 Oct)**.
- Reading: Axelrod 1984, *The Evolution of Cooperation* — the game-theory core of Sections 7–9.
- One-liner: **How do states cooperate so much under anarchy — and how do Neorealists and Neoliberals dispute the answer?**

2. The Puzzle: Globalization Under Anarchy

Keywords: anarchy, globalization, trade openness, Bretton Woods, GATT, tariff reduction, trade-growth link

2.1 The Question (Slides 3, 10–12)

Keywords: anarchy, levels of analysis, Realist prediction, cooperation puzzle

- Opening and recurring question: **"How could globalization have happened under anarchy?"** (Slides 3, 10).
- Anarchy = no central authority above sovereign states to make and enforce rules — the Realist starting point.
- Realist expectation: distrust, fear of cheating, self-help → durable cooperation should be rare.
- Globalization-over-five-centuries chart (Slides 3, 10, 11): **trade openness ~20% before 1914 → interwar collapse to ~10% → rising to ~60% by 2008**.
- Slide 11 title: *[Post-war economic] diplomacy, founded on the Neoliberal theory that IR Realists are wrong.*
- Slide 12: levels-of-analysis diagram stamped **"ANARCHY!"** — system-level anarchy dominates (contrast "ANARCHY?", Slide 29).
- → The empirical record of post-1945 trade is the anomaly Realism has to explain and Neoliberalism claims to explain.

2.2 Bretton Woods: Origin of the Trade Regime (Slides 4–5)

Keywords: Bretton Woods 1944, Mount Washington Hotel, post-WWII order, institutional design

- The post-WWII international trade regime **originated at Bretton Woods, New Hampshire** (Mount Washington Hotel) (Slide 4).
- "History being made at Bretton Woods (July 1944)" — conference photos (Slide 5).
- Context: Bretton Woods produced the IMF and World Bank and led to GATT (1947) — a designed cooperative order.

2.3 Quick and Dirty History of GATT Rounds (Slide 6)

Keywords: GATT rounds, tariff cuts, non-tariff measures, Uruguay Round, WTO, Doha

- **Geneva 1947:** $10bn of trade, 23 countries; 45,000 tariff cuts, average 35% cut.
- **Annecy 1949:** 13 countries; **Torquay 1950–51:** 38; **Geneva 1956:** $2.5bn, 26; **Dillon 1960–61:** $4.9bn, 26.
- **Kennedy 1962–67:** $40bn, 62 countries; 35% average cut on industrial goods; anti-dumping commitments.
- **Tokyo 1973–79:** $155bn, 102 countries; 34% cut; first major work on **non-tariff measures**.
- **Uruguay 1986–93:** $3.7tn, 123 countries; extended to **services and intellectual property**; built-in agenda on agriculture; **created the WTO**.
- **Doha 2001–:** 148+ countries; services, agriculture, trade facilitation, development agenda.
- → 23 → 148+ states, tariffs → services/IP: cooperation **deepening over time**.

2.4 Tariffs Fall, Trade Soars (Slides 7–8, 20)

Keywords: Krugman, average tariffs, world merchandise trade, exports, trade share of GDP

- Krugman chart (Slide 7), tariff reduction within GATT/WTO and EC/EU, 1947–2005: **average tariffs ~40% (1947) → ~5%**; trade index for manufactures rises steeply.
- "The Growth of World Trade" 1950–2022 (Slides 8, 20): value of exports climbs to **~$25tn**; merchandise trade rises from **~15–20% to ~45–50% of world GDP**.
- Slide 20 caption: *"But this has to be explained…"*

2.5 Why It Matters: Trade and Growth (Slides 9, 21)

Keywords: Our World in Data, GDP growth, trade growth, positive association

- Our World in Data scatter, GDP growth vs trade growth by country, 1945–2014: **positive association** (Slides 9, 21).
- *Example:* China, South Korea, Thailand high on both; DR Congo, Haiti, Liberia low on both.
- Slide 21 caption: *"…because it's IMPORTANT"* → cooperation under anarchy is not a curiosity; it underpins national prosperity.

3. The Liberal Challenge to Realism

Keywords: Moravcsik, hard-core assumptions, state preferences, complex interdependence, Keohane and Nye, Waltz

3.1 Moravcsik's "Three Hard Core Assumptions" of Liberal IR Theory (Slides 13–16) (memorise)

Keywords: individuals and groups, subset of society, state preferences, bottom-up theory

- Moravcsik 1997 restates Liberalism as a **bottom-up** theory of state behaviour (Liberal IR Theory).
- **Assumption 1 (Slide 14):** the fundamental actors in international politics are **individuals and groups, not states**.
- **Assumption 2 (Slide 15):** states represent only **a subset of domestic society**, not a presumed "national interest".
- **Assumption 3 (Slide 16):** combined societal pressures determine "state preferences," which in turn shape the state's international behavior.
- → Direct rejection of Realism's unitary, rational state pursuing a fixed national interest.
- One-liner: **For Liberals, foreign policy is domestic politics projected outward.**

3.2 Preferences Drive Policy: The Cartoon (Slide 18)

Keywords: transportation policy, energy policy, foreign policy, domestic preferences

- Cartoon: *"Transportation policy… begets energy policy… begets foreign policy"* — cars → oil → fighter jets (Slide 18).

3.3 Keohane and Nye's Complex Interdependence (Slide 17)

Keywords: complex interdependence, policy interdependence, costs and benefits, transnational groups

- Keohane and Nye 1977: complex interdependence (also "policy interdependence").
- Definition: the set of costs and benefits created for specific groups in Country B when dominant groups in Country A try to realize their preferences and values in the international realm by influencing their state's foreign policy (Slide 17).
- Significance: this concept **finally convinced most Neorealists they had to engage the Neoliberals and show respect** (Slide 17).
- → Societies are linked through groups, not just governments.

3.4 Waltz Doesn't Budge (Slide 19)

Keywords: Kenneth Waltz, Neorealism, structural realism, anarchy

- "Neorealist Kenneth Waltz doesn't budge…" (Slide 19).
- Context: Waltz 1979's Neorealism explains outcomes by system **structure** (anarchy + distribution of capabilities), not domestic preferences.

4. International Regimes: Krasner

Keywords: international regimes, Krasner 1983, principles, norms, rules, decision-making procedures, constrained states

4.1 Definition (Slides 22–23) (memorise)

Keywords: converging expectations, issue-area, four components

- Stephen Krasner of Stanford "invents" international regimes: Krasner 1983, ed., *International Regimes* (Slide 22).
- International regimes are principles, norms, rules, and decision-making procedures around which state expectations converge in a given issue-area (Slide 23).
- Four components to recall: **principles, norms, rules, decision-making procedures**.
- Key phrase: expectations **converge** → states can predict each other's behaviour within an issue-area.

4.2 Regimes Are Durable — Why Krasner Is Not a Traditional Realist (Slides 24–26)

Keywords: endurance, power shifts, constraint, softened anarchy

- Regimes are **more enduring than temporary arrangements** that change with every shift in power or interests (Slide 24).
- Question posed (Slide 25): how does this mark Krasner off as not quite a traditional Realist?
- Answer (Slide 26): **"STATES ARE CONSTRAINED. ANARCHY IS LESS!"**
- → Traditional Realists expect arrangements to track power; Krasner concedes regimes bind states.

4.3 Influential Regimes of the 21st Century (Slides 27–28)

Keywords: WTO, Paris Agreement, NPT, IMF, ICC, G20, Basel III, Kimberley Process, UNSC 1373, ASEAN

- **WTO:** rules and dispute settlement for **over 98% of global trade**.
- **Paris Agreement (UNFCCC):** climate regime; states set their **own emission targets**.
- **NPT:** stops nuclear proliferation, promotes disarmament.
- **IMF: lender of last resort**; emergency loans, financial surveillance.
- **ICC:** prosecutes **individuals** for genocide, war crimes, crimes against humanity.
- **G20:** largest economies coordinate global economic policy.
- **Basel III:** global **banking regulation** standards.
- **Kimberley Process:** certification against **"conflict diamonds"** funding civil wars.
- **UNSC 1373:** binding counter-terrorism obligations on all states.
- **ASEAN:** central diplomatic hub for Asia-Pacific security.
- → "Anarchy" is densely governed.

4.4 "ANARCHY?" and Regimes vs Agreements (Slides 29–30)

Keywords: questioning anarchy, agreements, ad hoc, one-shot, facilitation

- Slide 29 repeats the levels-of-analysis diagram, now **"ANARCHY?"** — Neoliberals question how far anarchy actually blocks cooperation.
- Agreements are ad hoc, sometimes one-shot arrangements; regimes are different and more lasting (Slide 30).
- **A key purpose of regimes is to facilitate agreements** (Slide 30).
- One-liner: **Regimes are the standing machinery; agreements are the deals that machinery produces.**

5. How Regimes Facilitate Agreements (Slides 31–35) (memorise all four)

Keywords: transparency, information, transaction costs, shadow of the future, defining cheating, reciprocity

5.1 Mechanism 1 — Transparency and Information (Slide 32)

Keywords: monitoring, reporting, data sharing, misperception, security dilemma

- **Monitoring, reporting and data sharing** let states see each other's behaviour and intentions → less **fear, suspicion and misperception**, which fuel the security dilemma.
- Security dilemma = steps one state takes to make itself secure make others feel less secure, prompting counter-measures that leave everyone less secure.

5.2 Mechanism 2 — Lower Transaction Costs (Slide 33)

Keywords: forums, legal frameworks, negotiation procedures, dispute resolution

- Regimes provide **established forums, legal frameworks and negotiation procedures**.
- *Example:* the WTO — states make deals and resolve disputes without starting from scratch each time.
- → Cheaper, easier deal-making on complex issues.

5.3 Mechanism 3 — Lengthen the "Shadow of the Future" (Slide 34)

Keywords: shadow of the future, repeated interaction, reputation, long-term cooperation

- Regimes **institutionalise interaction**: states know they will deal with each other repeatedly for the long term.
- Shadow of the future = the weight actors place on future interactions with the same partner when choosing how to act now.
- Discourages short-term cheating; states build a **reputation for reliability**.
- → This is the bridge to Axelrod's iterated game (Section 8).

5.4 Mechanism 4 — Define Cheating and Facilitate Reciprocity (Slide 35)

Keywords: standards of behaviour, violation, compliance, targeted sanctions, de-escalation

- Regimes set clear standards and rules, **explicitly defining what counts as cheating**.
- Non-compliance is easier to spot; states answer with **targeted, reciprocal actions** (sanctions etc.), not broader escalation.
- → Reciprocity needs a shared definition of defection; regimes supply it.

6. Hegemonic Stability Theory

Keywords: hegemon, public goods, free-rider problem, hegemonic decline, preponderance of power

6.1 Five Propositions (Slides 36–41) (memorise)

Keywords: order, public goods, free riding, self-interest, decline

- Hegemonic Stability Theory (HST) — a power-based explanation of open economic order (context: associated with Kindleberger 1973 and Gilpin 1981).
- **1. A hegemon is necessary for order (Slide 37):** a stable, open, prosperous system requires a hegemon — a single dominant state with a preponderance of military and economic power.
- **2. Provision of public goods (Slide 38):** the hegemon supplies collective goods all states benefit from:
  - a stable **reserve currency** — *Example:* British pound in the 19th century; US dollar post-WWII;
  - **military security and enforcement** — *Example:* policing sea lanes for freedom of navigation;
  - a **market of last resort** absorbing surplus goods in downturns;
  - a source of **credit and liquidity** in financial crises.
- **3. Solving the free-rider problem (Slide 39):** without a hegemon to bear leadership costs and enforce rules, smaller states would enjoy an open system without contributing → eventual collapse.
  - Free-rider problem = actors enjoy a collective good without paying for it, so the good is under-provided.
- **4. Not altruism (Slide 40):** the hegemon bears the costs because it **benefits disproportionately**; its position on the **technological frontier** lets it reap the greatest rewards from openness.
- **5. Hegemonic decline leads to instability (Slide 41):** when the hegemon's power or will to lead declines, the system becomes **chaotic, protectionist and conflict-ridden**.
- → HST is Realist-friendly: cooperation exists, but because of **power**, not because anarchy has been tamed.

6.2 Picturing Hegemonic Order (Slides 42, 54)

Keywords: predominant power, authority ties, institutional sites, enforcer

- Network diagrams: a **predominant power** linked to lesser powers through **formal and informal authority ties** and **institutional sites** (Slides 42, 54).
- Slide 54 adds police photos → the hegemon as **"cop"** (Section 7.4).

6.3 The Data on US Hegemony (Slides 43–45)

Keywords: US share of global GDP, relative decline, China, Europe, multipolar economy

- **US share of global GDP, 1825–2010 (Slide 43):** ~2% (1825) → peak **~35% around 1945** → ~22% (1970s–2000s) → ~18% (2010).
- **Share of global GDP, 1820–2012, PPP (Slide 44):** China 33% → ~15–16%; Europe peak ~40% (c. 1900) → 16%; US 2% → ~19%; India 16% → ~6%; Latin America ~2% → ~8%.
- **Six largest economies, 1980–2024E (Slide 45, Voronoi chart):** US 26.3%, EU 17.3%, China 16.9%, Japan 3.8%, India 3.6%, UK 3.3%.
- → US preponderance peaked at the moment the Bretton Woods order was built (1944–45), then declined relatively.

6.4 The Anomaly HST Cannot Handle (Slide 46)

Keywords: fading hegemony, Japan, West Germany, regime persistence

- Even as US hegemony faded (Japanese and West German power surge), **the world trade regime continued to function and even advance until recently** (Slide 46).
- Slide 46's question: **"SO WHAT EXPLAINS THIS HIGH DEGREE OF STATE COOPERATION UNDER ANARCHY?"**
- → Opens the door for the Neoliberal answer.

7. Game Theory: Why Cooperation Is Hard

Keywords: Prisoners' Dilemma, dominant strategy, arms race, Chicken, rationality, enforcer

7.1 The Prisoners' Dilemma (Slides 47–48) (memorise)

Keywords: confess, stay silent, dominant strategy, suboptimal outcome

- Prisoners' Dilemma (PD): two suspects held separately; each chooses to **confess** (defect) or **stay silent** (cooperate). Payoffs are prison terms, so **lower is better** (Slides 47–48).
- Payoff matrix (A, B):
    - **Both confess:** 5 years each.
    - **A confesses, B silent:** A 2 months, B 9 years.
    - **A silent, B confesses:** A 9 years, B 2 months.
    - **Both silent:** 1 year each.

- Dominant strategy = a choice that gives a player a better payoff whatever the other player does → here, **confess** (2 months beats 1 year if the other is silent; 5 years beats 9 years if the other confesses).
- Outcome: both confess → **(5, 5)**, worse for both than **(1, 1)**.
- One-liner: **In a PD, individually rational choices produce a collectively irrational outcome.**

7.2 The Security Dilemma as a PD (Slides 49–50)

Keywords: arms race, escalate, limit, mutual restraint

- "Can the security dilemma be modeled as a PD?" — yes (Slides 49–50). Payoff matrix (A, B; higher is better):
    - **Both escalate:** −6, −6.
    - **A escalates, B limits:** 10, −14.
    - **A limits, B escalates:** −14, 10.
    - **Both limit:** 4, 4.
- Dominant strategy = **escalate** → mutual arms race **(−6, −6)**, although mutual restraint **(4, 4)** is better for both.
- → Fear of being the "sucker" (−14) drives both into costly competition.

7.3 Chicken (Slides 51–53)

Keywords: Chicken game, swerve, crash, US-China, irrational actors

- Chicken: two drivers head toward each other; whoever swerves "loses face", but if neither swerves both crash — the worst outcome for both (standard context).
- Slide 51: **"Imagine the U.S. as A and China as B"** — a standoff where backing down is costly but collision is catastrophic.
- Slide 52: *"But someone didn't behave rationally the night of July 13th, 1950 in Wichita, Kansas"* — photo of a crashed race car.
    - → Game models assume rational players; real actors can miscalculate or act irrationally, so the "crash" can happen anyway.
- Slide 53: **"How to prevent the car crashes of international relations?"** (pile-up photo).

7.4 One Answer: The Cop (Slide 54)

Keywords: enforcement, hegemon as police, Realist solution

- Slide 54 links the hegemony network diagram to police photos → an **enforcer** (hegemon / "cop") can stop defection and crashes.
- → The HST solution — yet cooperation outlived the cop's decline (Slide 46).

8. Axelrod: The Evolution of Cooperation

Keywords: iterated Prisoners' Dilemma, shadow of the future, tit for tat, reciprocity, evolutionary simulation

8.1 The Iterated Prisoners' Dilemma (Slide 55)

Keywords: repeated game, multiple rounds, shadow of the future, population fitness

- Iterated Prisoners' Dilemma: the same PD played repeatedly between the same players, so today's move affects tomorrow's response.
- Slide 55: **"Suddenly the shadow of the future looms"** — screenshot of an evolutionary PD simulator showing strategies' population fitness over generations.
- Axelrod 1984: one-shot PD → defect; repeated PD → expected future rounds make cooperation rational.
- Context: in Axelrod's computer tournaments, tit for tat (Anatol Rapoport) beat all rival strategies.

8.2 Tit for Tat — The Best Long-Term Strategy (Slides 56–59) (memorise)

Keywords: Hobbesian world, nice, retaliatory, forgiving, reciprocity

- **"EVEN IN A HOBBESIAN WORLD, looking like a PD, the best long-term strategy is: tit for tat"** (Slide 56).
- Tit for tat = cooperate on the first move, then copy whatever the other player did on the previous move (tit for tat).
- Three rules (Slides 57–59):
    - **1. Be nice:** always cooperate at first — **never be the first to defect** (Slide 57).
    - **2. Retaliate, but only once:** if the other defects, retaliate immediately — but only once; **don't be vengeful** (Slide 58).
    - **3. Forgive or persist:** if the other resumes cooperating, resume cooperating; if s/he keeps defecting, keep defecting (Slide 59).
- *Example:* a state honours a trade deal; its partner imposes an illegal tariff; the state answers with one matching tariff; when the partner withdraws its tariff, the state withdraws its own.
- One-liner: **Nice, provocable, forgiving — cooperation by reciprocity, without trust or a central authority.**

8.3 The Worst Strategies (Slides 60–61)

Keywords: always defect, always cooperate, sociopathic strategy, Jesus strategy

- **2nd-worst: "The Sociopathic Strategy" — always defect** (Slide 60): locks itself into mutual punishment.
- **Worst: "The Jesus Strategy" — always cooperate** (Slide 61): exploited by every defector.

- → Ranking to recall: **tit for tat (best) > ... > always defect (2nd worst) > always cooperate (worst)**.

9. Neoliberalism's Core Contribution (Slides 62–66)

Keywords: evolution of cooperation, selection, war-fighting machines, naïve states, progress

- Slide 62 title: **"Neoliberalism's Core Contribution"** — applying Axelrod's logic to states (Neoliberal Institutionalism).
- The argument in four steps (Slides 63–66):
    - **Concession (Slide 63):** possibly Realists are right that states were **born as war-fighting machines** and still tend toward suspicion because of the security dilemma.
    - **Selection (Slide 64):** over the ages, **states that fail to cooperate are gradually eliminated**; **completely naïve states are eliminated too**.
    - **Survivors (Slide 65):** surviving states prosper through **the benefits of cooperation balanced by a vigorous — yet reasonable — defence of state interests** (tit for tat at state level).
    - **Implication (Slide 66): Realists must reconsider several issues** — the world as anarchic today, the **impossibility of progress**, etc.
- → Regimes (Section 5) institutionalise the iterated game.
- One-liner: **Neoliberals accept Realist premises (anarchy, self-interested states) yet derive cooperation from them.**

10. The Neo-Neo Debate

Keywords: Neo-Neo Debate, absolute gains, relative gains, regime constraint, powerful states, webs of governance

10.1 The Neorealist Rebuttal: Absolute vs Relative Gains (Slides 67–69) (memorise)

Keywords: flawed presuppositions, absolute gains, relative gains, security dilemma

- Neo-Neo Debate: Neorealists respond that the Neoliberals' core contribution rests on **flawed presuppositions** (Slide 67).
- Neoliberal assumption (Slide 68): "evolution of cooperation" models work only if states seek **absolute gains**.
    - Absolute gains = gains compared to the past or to what would have been possible from alternative courses of action.
- Neorealist counter (Slide 69): because of the security dilemma, states seek **relative gains**.

    - Relative gains = gains measured against what other states gain.

- *Example:* a trade deal gives A +5 and B +10. Absolute-gains A accepts (it is better off); relative-gains A may refuse, since B grows stronger relative to A.
- Slide 69 warning: **"Peace may be passing!"** — if relative gains dominate, today's cooperation is fragile.
- One-liner: **Neoliberals ask "Am I better off?"; Neorealists ask "Am I better off than you?"**

10.2 Where the Two Sides Stand (Slides 70–73) (memorise)

Keywords: agreement on regimes, power and constraint, ensnarement, undermining anarchy

- **1. Common ground (Slide 71):** both sides agree that **regimes exist and are important**.
- **2. Neorealist position (Slide 72): powerful states are relatively less constrained** by regime norms and rules.
- **3. Neoliberal position (Slide 73):** once created, regimes **ensnare all states in webs of governance that profoundly undermine anarchy**.
- → Not *whether* regimes matter but **how much they constrain the powerful**.

11. One-Page Revision Spine

Keywords: last-minute recap, puzzle, regimes, HST, Prisoners' Dilemma, tit for tat, Neo-Neo Debate

1. **Puzzle (Slides 3–10):** globalization under anarchy — trade openness ~20% → ~10% → ~60% (2008); tariffs ~40% → ~5%; trade ~45–50% of world GDP; trade growth tracks GDP growth.
2. **Record (Slides 4–6):** Bretton Woods 1944 → GATT rounds (Geneva 1947, 23 states → Uruguay 1986–93, WTO created → Doha 2001–, 148+).
3. **Liberalism (Moravcsik 1997, Slides 14–18):** individuals/groups act; states represent a subset of society; societal pressures → state preferences → behaviour.
4. **Complex interdependence (Keohane and Nye 1977, Slide 17):** made Neorealists engage Neoliberals; Waltz 1979 doesn't budge.
5. **Regimes (Krasner 1983, Slides 22–30):** principles, norms, rules, decision-making procedures; durable → "ANARCHY IS LESS!"; facilitate ad hoc agreements.
6. **Four mechanisms (Slides 32–35):** transparency; lower transaction costs; longer shadow of the future; define cheating + reciprocity.
7. **HST (Slides 36–41):** hegemon provides public goods, solves free riding, out of self-interest; decline → instability.
8. **Anomaly (Slides 43–46):** US GDP share ~35% (1945) → ~18% (2010), yet the trade regime persists.
9. **PD (Slides 47–50):** confess/escalate dominant → (5, 5) not (1, 1); (−6, −6) not (4, 4). Chicken: US vs China; irrational crash (Slides 51–53); hegemon as "cop" (Slide 54).

10. **Axelrod 1984 (Slides 55–61):** iterated PD; tit for tat best (nice, retaliate once, forgive); always defect 2nd worst; always cooperate worst.
11. **Core contribution (Slides 62–66):** non-cooperators and naïve states eliminated; survivors cooperate with reasonable defence → Realists must rethink anarchy and progress.
12. **Neo-Neo Debate (Slides 67–73):** absolute vs relative gains ("peace may be passing"); both say regimes matter; powerful less constrained (Neorealists) vs regimes ensnare all states (Neoliberals).